

Cambridge Assessment
International Education

**Cambridge International AS & A Level
ECONOMICS**

Paper 1 AS Level Multiple Choice (Hard)

You must answer on the multiple choice answer sheet.

You will need: Multiple choice answer sheet
Soft clean eraser
Soft pencil (type B or HB is recommended)

INSTRUCTIONS

- There are **thirty** questions on this paper. Answer **all** questions.
- For each question there are four possible answers **A, B, C** and **D**. Choose the **one** you consider correct and record your choice in soft pencil on the multiple choice answer sheet.
- Follow the instructions on the multiple choice answer sheet.
- Write in soft pencil.
- Write your name, centre number and candidate number on the multiple choice answer sheet in the spaces provided unless this has been done for you.
- Do **not** use correction fluid.
- Do **not** write on any bar codes.
- You may use a calculator.

INFORMATION

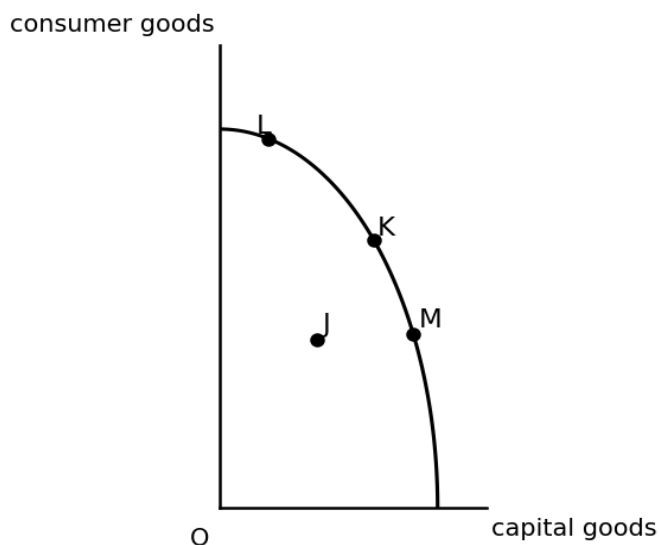
- The total mark for this paper is 30.
- Each correct answer will score one mark.
- Any rough working should be done on this question paper.

This document has **12** pages. Any blank pages are indicated.

Practice paper – Hard difficulty **[Turn over]**

- 1 Economists often distinguish between positive and normative statements. Which pair of statements is correctly classified?
- A 'The interest rate was raised to 5%' (positive); 'Inflation will probably fall next year' (normative)
 - B 'Raising taxes is unjust' (positive); 'Taxes rose by 2%' (normative)
 - C 'A rise in interest rates will reduce investment' (positive); 'Inflation is too high and must be reduced' (normative)
 - D 'GDP per capita rose 3%' (normative); 'Income inequality is unfair' (positive)
- 2 Anna has \$5000 saved. She can either:
- invest it at 6% per year, OR
 - use it to start a business expected to generate \$400 of profit in the first year.
- She also turns down a job paying \$200 per week to run the business full-time, although she will save \$50 per week on transport costs she would have incurred for the job.
- Using a 50-week working year, what is the economic profit (or loss) from running the business in the first year?
- A -\$7600
 - B -\$7400
 - C -\$7200
 - D +\$400
- 3 Which good or service is best classified as a quasi-public good?
- A fresh air in an unpopulated rural area
 - B a private cinema screening accepting paying customers
 - C a public beach with limited capacity during summer holidays
 - D national defence provided to all citizens of a country
- 4 Which is most likely to be a disadvantage of a fully command economy compared to a market economy?
- A It produces public goods that the market would not supply.
 - B It tends to ignore consumer preferences and reduce incentives to innovate.
 - C It causes significant unemployment because of business cycles.
 - D It creates greater income inequality between citizens.

- 5 The diagram shows the production possibility curve (PPC) of an economy producing capital goods and consumer goods.



Which statement is correct?

- A Movement from J to K shows productive efficiency improving but the same opportunity cost throughout.
 - B Point M shows productive efficiency, while J shows allocative inefficiency.
 - C Producing at L rather than K would generate greater long-run growth potential.
 - D Point J represents the highest combination of growth and consumption possible.
- 6 Good A is a normal good and a strong substitute for good B. Good C is a complement to good A.
- There is a fall in the price of good B and a fall in consumer incomes.
- What will certainly happen to the price and quantity sold of good C?
- A Both price and quantity fall.
 - B Price falls; the change in quantity is indeterminate.
 - C Both price and quantity rise.
 - D Both changes are indeterminate.
- 7 A government wishes to maximise tax revenue from indirect taxes while minimising the deadweight loss caused by the tax.

Which good is most suitable for taxation?

- A a good with elastic supply and elastic demand
- B a good with inelastic supply and elastic demand
- C a good with elastic supply and inelastic demand
- D a good with inelastic supply and inelastic demand

- 8 The income elasticity of demand for a luxury good is +3.0. The price elasticity of demand is -1.5.

If consumer income rises by 4% and the price of the good rises by 6% at the same time, what is the approximate percentage change in quantity demanded?

- A +3%
- B +9%
- C +12%
- D +21%

- 9 A government imposes a specific tax of \$4 per unit on a good, then provides a subsidy of \$4 per unit on the same good.

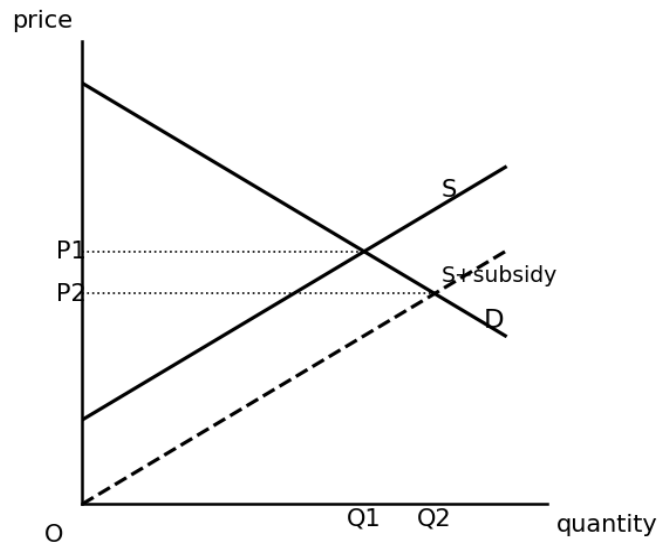
Which statement is correct, assuming the tax and subsidy are both applied to producers?

- A There is no change in the equilibrium price or quantity.
- B The supply curve shifts upward by \$4 then downward by \$4.
- C Government revenue equals government expenditure, but quantity sold falls.
- D Consumers gain and producers lose.

- 10 Which scenario does not represent a form of market failure?

- A A profitable factory pollutes a river, harming downstream fisheries.
- B Consumers do not realise the long-term health risks of consuming sugary drinks.
- C Two firms in an industry have access to different technology, with one having lower costs.
- D Bees in a region pollinate orchards without the orchard owners paying beekeepers.

- 11 The diagram shows the effect of a per-unit subsidy on a market for a good. The subsidy shifts supply from S to $S + \text{subsidy}$.



Which statement is correct?

- A The full benefit of the subsidy is received by producers as the price they receive remains unchanged.
 - B Consumers receive $P1 - P2$ of the subsidy per unit and producers receive the remainder.
 - C Demand must be perfectly inelastic for the diagram to be drawn correctly.
 - D Government expenditure on the subsidy equals $(P1 - P2) \times Q1$.
- 12 A government wishes to ensure equal access to a service for all citizens. It has two options:
 Option 1: Direct provision financed by general taxation
 Option 2: A means-tested cash transfer that recipients can use to buy the service in the market

Which is most likely to be true about Option 2 compared with Option 1?

- A It guarantees more equal consumption across income groups.
 - B It is less likely to create disincentives to work and save.
 - C It gives recipients greater freedom of choice but may not be spent on the service.
 - D It eliminates the need for any government administration.
- 13 A market for second-hand cars suffers from asymmetric information: sellers know more about each car's quality than buyers.

What is the most likely consequence?

- A Consumers pay above market value because they fear missing out on good deals.
- B High-quality cars are driven out of the market, leaving an oversupply of low-quality cars.
- C Producer surplus rises as sellers can charge premium prices.
- D The market becomes perfectly competitive over time.

- 14** Good X has a positive consumption externality. Marginal external benefit (MEB) is constant.

In a free market, the equilibrium output Q_1 is below the socially optimal output Q^* . What represents the welfare loss from this market failure?

- A** the area between MSB and MPC from 0 to Q_1
- B** the area between MSB and MPB from Q_1 to Q^*
- C** the area between MSB and MPC from Q_1 to Q^*
- D** the area between D and S below the equilibrium price

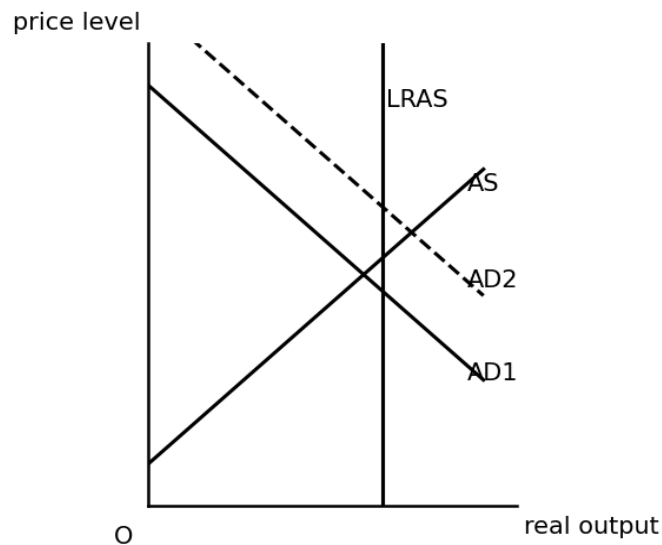
- 15** An economy has the following data:

	Year 1	Year 2
Nominal GDP	\$500bn	\$550bn
Population	50m	52m
Price level (index)	100	108

What was the approximate change in real GDP per capita?

- A** fell by approximately 3.9%
 - B** fell by approximately 2.1%
 - C** rose by approximately 1.5%
 - D** rose by approximately 10.0%
- 16** Which scenario best illustrates a short-run trade-off between inflation and unemployment?
- A** An economy at full employment experiences rising oil prices, increasing both inflation and unemployment.
 - B** Expansionary fiscal policy reduces unemployment in the short run, but inflation rises.
 - C** A central bank raises interest rates, leading to lower inflation and lower unemployment.
 - D** Improvements in productivity simultaneously reduce both unemployment and inflation.
- 17** According to the quantity theory of money, if the money supply grows at 8%, real output grows at 2%, and the velocity of money is constant, what is the expected rate of inflation?
- A** 2%
 - B** 4%
 - C** 6%
 - D** 10%
- 18** Country X has a higher GDP per capita than country Y but a lower Human Development Index (HDI).
- Which is the most likely explanation?
- A** Country X has greater inequality and worse health and education outcomes than Y.
 - B** Country Y has higher prices for consumer goods than X.
 - C** Country X has a smaller population than Y.
 - D** Country Y experiences higher rates of inflation than X.

- 19 The diagram shows aggregate demand shifting from AD1 to AD2 in an economy operating at long-run equilibrium on LRAS.



Which statement is correct about the short-run and long-run effects?

- A In the short run, real output rises and the price level falls; in the long run, real output is unchanged.
 - B In the short run, real output rises above the LRAS level; in the long run, the price level rises with no change in real output.
 - C In both the short and long run, real output rises permanently and the price level remains unchanged.
 - D In the long run, the SRAS shifts right, returning the price level to its initial value.
- 20 In a closed economy, the marginal propensity to save (MPS) is 0.20 and the marginal rate of tax (MRT) is 0.25.

If government spending rises by \$100m, what is the eventual change in national income?

- A \$133m
 - B \$222m
 - C \$400m
 - D \$500m
- 21 A government finances increased spending entirely by selling bonds to the domestic private sector.

Which effect on private sector investment is most likely?

- A Investment will rise because aggregate demand rises.
- B Investment may fall as interest rates rise to attract bond buyers.
- C Investment will be unaffected because bond purchases come from saving.
- D Investment will rise as inflation expectations fall.

- 22** An economy faces stagflation: high inflation alongside high unemployment. Which combination of policies is most likely to address both problems simultaneously in the long run?
- A** tighter monetary policy and expansionary fiscal policy
 - B** looser monetary policy and contractionary fiscal policy
 - C** supply-side reforms to improve productivity and competition
 - D** import tariffs and currency devaluation
- 23** Through which channel is monetary policy least likely to affect aggregate demand?
- A** changes in the cost of borrowing for consumers and businesses
 - B** changes in asset prices, affecting household wealth
 - C** changes in the exchange rate, affecting net exports
 - D** changes in the level of government spending on infrastructure
- 24** A country has a persistent current account deficit financed by inflows on the financial account. The country's currency has been broadly stable. Which scenario is most consistent with this pattern?
- A** Domestic firms are increasingly uncompetitive and the central bank is selling reserves to defend the currency.
 - B** Foreign direct investment is attracted by relatively high domestic real returns on capital.
 - C** Domestic savings exceed domestic investment, and surplus capital is exported.
 - D** Domestic consumers are spending heavily on luxury imports, financed by domestic borrowing.
- 25** A country operates a fixed exchange rate system. Demand for the country's currency falls sharply. Which combination of actions could the central bank take to maintain the exchange rate?
- A** buy foreign currency reserves; lower interest rates
 - B** buy foreign currency reserves; raise interest rates
 - C** sell foreign currency reserves; lower interest rates
 - D** sell foreign currency reserves; raise interest rates
- 26** Country A and country B can produce wheat and cloth with the labour inputs shown:

	1 unit of wheat	1 unit of cloth
Country A	4 hours	2 hours
Country B	6 hours	2 hours

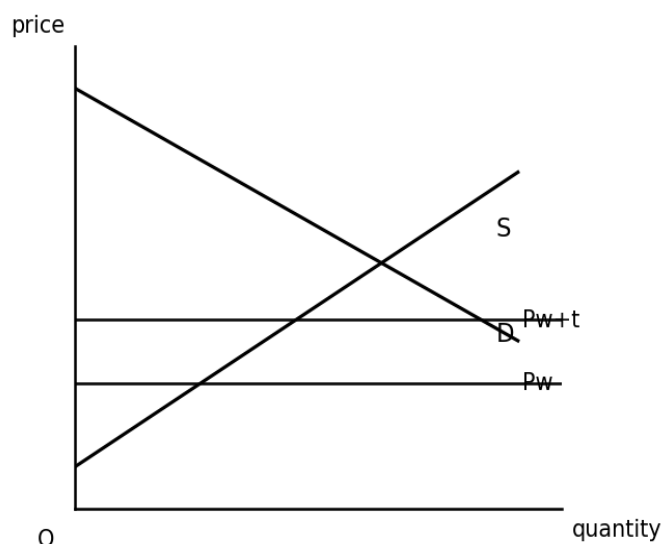
Which statement is correct?

- A** Country A has an absolute advantage in both goods and a comparative advantage in wheat.
- B** Country B has no absolute advantage and no comparative advantage.
- C** Country A has a comparative advantage in wheat and country B in cloth.
- D** Both countries have the same comparative advantage in cloth.

- 27 A country's currency depreciates by 10%. The price elasticity of demand for its exports is -0.4 and for its imports is -0.5 .

Which statement is most likely to be correct in the short run?

- A The current account will improve immediately because exports become cheaper.
 - B The current account will worsen because the sum of elasticities is less than one.
 - C There will be no change because the depreciation is too small to matter.
 - D Imports will fall sharply and exports will rise sharply.
- 28 Which transaction would appear in the financial account rather than the current account of a country's balance of payments?
- A fees received by domestic banks for services to overseas clients
 - B remittances received from citizens working abroad
 - C purchase of government bonds by a foreign pension fund
 - D dividend payments to foreign holders of domestic shares
- 29 The diagram shows the market for an imported good in a small open economy. The world price is P_w , and a tariff of t per unit is imposed, raising the domestic price to $P_w + t$.



Which group definitely loses surplus as a result of the tariff?

- A domestic producers only
 - B domestic consumers only
 - C foreign producers and the domestic government
 - D domestic consumers and foreign producers
- 30 A country's terms of trade improve significantly because of a sharp rise in the world price of its main export commodity.
- Which combination of effects is most likely in the short run?
- A current account improves; domestic real income rises; export volumes fall
 - B current account worsens; domestic real income falls; export volumes rise
 - C current account improves; domestic real income falls; export volumes rise
 - D current account unchanged; domestic real income rises; export volumes unchanged

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